The Dangote Refinery Share Offer, Explained Plainly

What is being sold, what it costs, and what could go right or wrong — written for someone who has never bought a share
14 September 2026 (the offer opens today and closes 13 October). Every number comes from the company's own official offer document (the prospectus) or from named news and market sources; the full research brief lists the page for each one.

1. What is actually being sold?

The Dangote Refinery is a factory near Lagos that turns crude oil into petrol, diesel, jet fuel and cooking gas. It can process 700,000 barrels of crude a day, which is roughly all the fuel Nigeria uses. The company is now selling a small slice of itself to the public.

Think of the company as a cake cut into 124 billion tiny slices, called shares. It is offering 4.1 billion of those slices — about **3 slices in every 100** — for **₦525 each**. The Dangote family companies keep about 84 slices in every 100; the state oil company NNPC holds about 7. You can buy as few as 10 slices (₦5,250) and must buy in multiples of 10.

If every slice were valued at ₦525, the whole cake would be worth about **₦65 trillion, or $48 billion**. That is the price tag the offer puts on the business. The company will use the money it raises (about ₦2.1 trillion after costs) to help pay for doubling the factory's size by 2029, a project costing about $14.3 billion.

One unusual detail: the shares will be **priced in US dollars on the Nigerian stock exchange** (₦525 is about 38.5 US cents), even though you pay and receive naira. That matters later.

2. Is ₦525 a fair price? The bakery test

Imagine buying a bakery. The sensible question is not "is the bakery nice?" but "how much profit does it make each year, and how many years of profit am I paying for?"

- In the first six months of 2026 the refinery made about **$1.8 billion in profit** — a remarkable turnaround from a **$476 million loss** in 2025. Its earnings before interest, tax and wear-and-tear (the number analysts use to compare businesses) were **$2.6 billion** for the half-year.
- If the first half of 2026 repeats forever, ₦525 means paying about **13 years of profit** for your slice. That sounds reasonable.
- If you instead look at the *last twelve months* — which includes the weak second half of 2025 — you are paying about **17 years** of the business's underlying earnings. That is expensive for a refinery.

Which of those two is "true"? That is the whole question, and here is why it matters.

The refinery's best months happened during a war. Since February 2026 the United States and Israel have been at war with Iran. The Strait of Hormuz — the sea lane that carries about one-fifth of the world's oil — has been mostly closed. Oil prices went from about $70 to over $100 a barrel, and the profit a refinery earns on each barrel it processes (its "margin") went up everywhere in the world. Dangote's margin was **$33.70 a barrel in January–March**, but when peace looked close in June it fell to about **$18**. The company's own document says it expects about **$24 a barrel** for the full year. In normal, peaceful years, refineries earn **$10 to $14 a barrel**.

So the price you are asked to pay assumes the good times mostly continue. If they do, ₦525 is fair. If margins fall back to a normal year, the same maths says a fair price would be closer to **₦175–295**. If things go badly — margins collapse *and* the government caps fuel prices — the maths points to under ₦130. Those are not predictions; they are what the same calculation gives under three different futures.

An analogy: buying an umbrella shop at the height of the rainy season, at a price based on rainy-season sales. The shop is real and well-run. The question is what you paid for it.

3. Things in the company's favour

- **Almost no debt worry.** The company owes $5.7 billion but has $4.3 billion in cash, so its net debt is only $1.4 billion — tiny against its earnings. And the money raised in this offer roughly wipes that out. Whatever else goes wrong, the company is not going to be crushed by loans.
- **It is the only game in town.** Before this refinery, Nigeria imported about 90% of its fuel. Now the refinery supplies nearly all locally made petrol, and it also ships fuel to West Africa, Europe and beyond. Its ships never have to pass through the Middle East's danger zones.
- **A modern plant.** On the industry's complexity scale, it scores 11.5 against an average of 8.9 for comparable countries (though India's giant Jamnagar refinery scores 21).

- **The expansion.** If the factory doubles by 2029 and margins hold, today's price looks cheap in hindsight.

4. Things to worry about

- **Cheaper elsewhere.** Big American and Turkish refiners are currently priced at about 9–10 years of profit; Dangote at 13. You are paying more per naira of profit for a younger, single-country business.
- **Crude supply arguments.** The refinery imports about 40% of its crude in dollars. It and NNPC publicly disagree about how much Nigerian crude it is getting. When oil is $100 a barrel, one month of imports can cost $1.5 billion.
- **Profit that came from the parent.** In early 2026 the refinery lost about $410 million on a fuel-price bet, and its parent company Dangote Industries covered that loss through a contract between them. Without that, half-year profit would have been about $1.4 billion, not $1.8 billion. This is legal and disclosed — but about a fifth of the headline profit came from the family, not the factory.
- **Politics.** A company that supplies most of the country's petrol is a natural target for price controls. The refinery already started selling petrol to local marketers in dollars in July, which is the kind of thing that attracts attention.
- **Not much to trade.** Only about 2.5 slices in 100 will actually be available to buy and sell after listing. When very few shares change hands, the price can swing 5–10% in a day in either direction.

5. The "loyalty bonus" — smaller than it sounds

The offer promises loyal small investors free extra shares: one if you still hold your shares after 12 months, and one more after 24 months. That is **two shares in total, worth ₦1,050**, no matter how many you bought. If you buy the minimum ₦5,250, that is a 20% gift. If you buy ₦1,000,000 worth, it is **0.1%** — and the fees to buy and later sell (roughly 2.6–4% in total) are 25 to 38 times bigger. The bonus also still needs approval from regulators and the company's own shareholders, which had not been given when the document was printed. Treat it as a nice extra, not a reason to buy.

6. What happens to shares like this after listing? The Nigerian record

People often point to Dangote Cement or BUA Foods, which never fell below their listing price. But those companies did not sell shares to the public at a fixed price; they simply started trading. Looking only at Nigerian companies that *did* sell to the public at a set price — Transcorp, Dangote Sugar, Dangote Flour, the 2007 bank offers, Seplat, Airtel Africa, MTN's 2021 sale and a few smaller ones — **about nine in ten fell below their offer price at some point in the first year or two**. The average fall for those that dipped was steep: around **45%** for offers since 2010, and around **35%** even for the big, solid names (Seplat fell roughly half; Airtel about a fifth). Most eventually recovered strongly — Seplat's ₦576 shares are now above ₦11,000, Airtel's ₦363 shares above ₦6,000 — but the recovery took two to seven years for the good ones and over a decade for the 2007 group.

The lesson is not "don't buy." It is: **if you buy, expect to see your shares worth 35–50% less than you paid at some point, and only buy an amount you could watch fall that far without selling in panic.** (These historical figures are from memory and could be off by around ten percentage points; the direction is not in doubt.)

7. The dollar twist

Because the shares are priced in dollars, if the naira weakens the naira value of your shares rises automatically, even if the business does nothing. If the naira strengthens — as it has for the past year — the naira value falls. For someone whose savings are almost entirely in naira, this is the strongest genuine reason to own *some* of this share: it is a dollar-linked asset you can buy from a naira app. It is not a reason to own *more* than you otherwise would.

8. The alternative you would be giving up

Right now a one-year Nigerian Treasury bill — the government borrowing from you — pays about **16.6%** with essentially no risk. For the refinery shares to beat that over one year they would need to rise about 17% (including any dividend). Over five years, the bill turns ₦1 into about ₦2.16; the shares would have to more than double to match. That is possible under the good scenario and unlikely under the middle one. And money you hold back while you wait is not idle — six months in a money-market fund earns about ₦42,000 on ₦500,000.

9. Dividends in dollars — a promise with fine print

The company says it *intends to declare* dividends in dollars and *may pay* them in dollars, naira or another currency, at its discretion, once regulators and its lenders allow. No amount or percentage has been promised. Do not count on dollar income yet.

10. A sensible way to think about it (not advice)

1. **Decide your number before you open the app**, and write it down. The offer is designed — a national-hero founder, “an IPO for the people”, a 30-day deadline, a loyalty gift — to make you decide with your heart. Deciding first protects you.
2. **Buy at ₦525 only what you could hold through a 35–50% drop without selling.** Small applications are almost certain to be filled in full, and buying in the offer is about 1% cheaper in fees than buying later on the exchange. Apply once, in multiples of 10, on any day before 13 October — there is no prize for day one.
3. **Keep the rest earning 17%** and set two rules for adding: buy more if the price falls about 10% below ₦525 in the first three months, or if the company’s full-year results (due around March 2027) show that margins stayed above $20 a barrel. If those results show margins below $15, the case has broken — keep your cash.
4. **Tax:** an ordinary investor pays no capital gains tax unless selling more than ₦150 million of shares in a year; dividends carry a 10% withholding.

In one sentence: this is a strong, well-financed, one-of-a-kind factory being sold at a price that assumes its best-ever months continue; own a modest amount for the dollar link and the long-term story, expect a rough first year, and never let the bonus shares or the deadline decide the amount for you.